

Retiree attraction is a real economic development strategy with billions in budgets

The evidence shows that attracting retirees has evolved from theory into a significant economic development strategy actively implemented by dozens of states and hundreds of localities across the United States. This strategy involves substantial financial commitments, formal government programs, and measurable economic impacts.

Concrete tax policies with major fiscal impacts

States are investing billions of dollars annually in retirement income tax exemptions and property tax breaks specifically designed to attract and retain retirees. **Colorado alone spent \$156.5 million in FY 2021-22** reimbursing local governments for senior property tax exemptions, benefiting 266,538 seniors. [The Colorado Sun](#) Nine states maintain zero income tax partly to attract retirees, while states like Illinois, Pennsylvania, and Mississippi exempt all retirement income regardless of amount. [SmartAsset +3](#)

The momentum is accelerating: Iowa eliminated taxes on retirement income for residents 55+ in 2023, [Iowa](#) while Kansas, Missouri, and Nebraska all eliminated Social Security taxes in 2024. [Bankrate](#) These represent hundreds of millions in foregone revenue annually - **Missouri's Social Security exemption alone costs \$309 million per year**. Georgia will exempt up to \$65,000 in military retirement pay starting in 2026, [Moaa](#) responding to competitive pressure from 24 other states offering similar exemptions. [CalMatters](#) [Thomsonreuters](#)

Formal state programs with dedicated budgets

Five states operate Certified Retirement Community programs with formal application processes, fees, and marketing support. [Nmsu](#) North Carolina's program, established in 2008, charges communities the greater of \$10,000 or \$0.50 per capita to participate [Lumbertonnc](#) and has certified over 20 communities. [Constant Contact](#) [Visitnc](#) Texas charges \$5,000 or \$0.25 per capita for its GO TEXAN retirement community certification, [State](#) with 41 participating communities. [Public](#)

These programs involve dedicated state staff, marketing budgets, and technical assistance. [Public](#) [Nmsu](#) North Carolina maintains RetireNC.com as a comprehensive portal promoting certified communities, [Visitnc](#) while Tennessee has operated its "Retire Tennessee" program through the Department of Economic and Community Development for over eight years. [Constant Contact +2](#) The programs function like economic development initiatives for business attraction, complete with site visits, promotional events, and coordinated marketing campaigns. [Nmsu](#)

Measurable economic outcomes documented

The strategy produces significant, quantifiable results. **Arizona gained 23,515 net retirees aged 60+ in 2022 alone**, making it the second most popular retirement destination after Florida, which attracted 49,732 retirees aged 65+. (Azeconomy) These aren't just population statistics - they translate into major economic impacts. Arizona State University calculated that retiree-related activities generate **\$6.1 billion in gross product and support 55,688 jobs** in the state. (Asu)

Specific communities show dramatic growth from retiree attraction. Sun City, Arizona, the pioneering retirement community launched in 1960, sold 2,000 homes in its first year (exceeding its three-year projection) and now houses over 37,000 residents. (Suncityaz +2) The model spawned multiple Sun Cities (NPR) generating billions in economic activity. At the local level, New Bern, North Carolina documented that 44 new retiree households in their first year generated **\$9 million in direct spending**, while Kingsport, Tennessee estimates each newcomer adds \$25,000 annually to the local economy. (Nmsu) (Salisbury Post)

Academic validation with important caveats

Research consistently validates the short-term economic benefits while raising concerns about long-term sustainability. (Usda) William J. Serow's comprehensive 2003 academic review found that "practically all North American studies show overwhelmingly positive near-term economic and fiscal impacts." (OUP Academic) Studies document that each retiree household generates 1.5-2.5 additional jobs in service industries through their spending on healthcare, retail, and services. (OUP Academic) (ScienceDirect)

However, academics identify a critical gap: virtually no studies examine what happens 10-15 years later when attracted retirees age in place and require more services. The jobs created tend to be "low-skill, low-wage service employment" rather than high-paying positions. (OUP Academic) Despite these limitations, communities continue investing in the strategy because the immediate benefits - property tax revenue without school costs, pension and Social Security spending, healthcare sector growth - are tangible and politically popular.

Beyond theoretical discussion

The evidence decisively shows this has moved far beyond academic theory. State legislatures are passing major tax reforms, communities are paying substantial fees for certification programs, and economic development agencies are dedicating staff and resources to retiree recruitment. The competition is intensifying - when one state offers military retirement exemptions, neighboring states follow suit to avoid losing residents. (CalMatters)

Rural communities particularly embrace the strategy as one of their few viable economic development options. (Usda) USDA research documents that rural counties successfully attracting retirees show "improved employment conditions, earnings, and incomes; lower poverty rates; healthier and better-

educated populations." [Usda](#) [Usda](#) For many declining rural areas, retiree attraction represents a more achievable goal than landing a major manufacturer or tech company.

This is unquestionably a first-order economic development strategy with real money, formal programs, and measurable impacts. While questions remain about long-term sustainability and whether it merely reshuffles retirees between states rather than expanding the pie, the immediate fiscal commitments and economic activities generated make it a significant force in state and local economic development policy.